

Should You Put All Your Eggs in One Basket?

“Put all your eggs into one basket and then watch that basket,” proclaimed Andrew Carnegie a century ago. “Do not scatter your shot.... The great successes of life are made by concentration.” As Graham points out, “the really big fortunes from common stocks” have been made by people who packed all their money into one investment they knew supremely well.

Nearly all the richest people in America trace their wealth to a concentrated investment in a single industry or even a single company (think Bill Gates and Microsoft, Sam Walton and Wal-Mart, or the Rockefellers and Standard Oil). The *Forbes* 400 list of the richest Americans, for example, has been dominated by undiversified fortunes ever since it was first compiled in 1982.

However, almost no small fortunes have been made this way—and not many big fortunes have been *kept* this way. What Carnegie neglected to mention is that concentration also makes most of the great *failures* of life. Look again at the *Forbes* “Rich List.” Back in 1982, the average net worth of a *Forbes* 400 member was \$230 million. To make it onto the 2002 *Forbes* 400, the average 1982 member needed to earn only a 4.5% average annual return on his wealth—during a period when even bank accounts yielded far more than that and the stock market gained an annual average of 13.2%.

So how many of the *Forbes* 400 fortunes from 1982 remained on the list 20 years later? Only 64 of the original members—a measly 16%—were still on the list in 2002. By keeping all their eggs in the one basket that had gotten them onto the list in the first place—once-booming industries like oil and gas, or computer hardware, or basic manufacturing—all the other original members fell away. When hard times hit, none of these people—despite all the huge advantages that great wealth can bring—were properly prepared. They could only stand by and wince at the sickening crunch as the constantly changing economy crushed their only basket and all their eggs.^{[10](#)}

The Bargain Bin